MASTER SERVICES AGREEMENT

for managed IT services

between

Halvard Freight Systems Ltd

(the “Customer”)

and

Corvane Data Services Ltd

(the “Supplier”)

Synthetic sample. Both parties are fictional companies and this agreement was written for software testing. It is not legal advice and must not be used as a template.

THIS AGREEMENT is made between:

(1) Halvard Freight Systems Ltd, a company registered under number 08814275 whose registered office is at 14 Quayside Row, Northport NP2 7QL (the "Customer"); and

(2) Corvane Data Services Ltd, a company registered under number 11290463 whose registered office is at Unit 5, Larchfield Business Park, Easton ES4 9TD (the "Supplier").

BACKGROUND

(A) The Customer wishes to obtain managed IT services, and the Supplier has agreed to provide them on the terms of this Agreement.

(B) The parties may agree Statements of Work under this Agreement from time to time.

IT IS AGREED as follows:

1. DEFINITIONS AND INTERPRETATION

1.1 In this Agreement the following definitions apply:

1.1.1 **"Affiliate"** means, in relation to a party, any entity that controls, is controlled by, or is under common control with that party from time to time;

1.1.2 **"Business Day"** means a day other than a Saturday, a Sunday or a public holiday in the place where the Services are received;

1.1.3 **"Change"** means any change to this Agreement, the Services or a Statement of Work agreed in accordance with clause 8;

1.1.4 **"Charges"** means the charges for the Services set out in Schedule 3, as varied in accordance with this Agreement;

1.1.5 **"Commencement Date"** means the date on which this Agreement is signed by the last of the parties to sign it;

1.1.6 **"Confidential Information"** means all information of a confidential nature disclosed by one party to the other, whether before or after the Commencement Date, in any form, including information about the business, customers, suppliers, systems and plans of the disclosing party and its Affiliates;

1.1.7 **"Customer Data"** means all data, including personal data, provided by or on behalf of the Customer or generated by the Services on behalf of the Customer;

1.1.8 **"Data Protection Legislation"** means all laws relating to the processing of personal data that apply to either party in connection with this Agreement;

1.1.9 **"Deliverables"** means all documents, software, reports and other materials that the Supplier provides to the Customer as part of the Services;

1.1.10 **"Force Majeure Event"** has the meaning given in clause 16.1;

1.1.11 **"Good Industry Practice"** means the degree of skill, care and foresight that would reasonably be expected of a skilled and experienced supplier of services similar to the Services;

1.1.12 **"Intellectual Property Rights"** means patents, copyright, database rights, design rights, trade marks, rights in confidential information and all similar rights anywhere in the world, whether registered or not;

1.1.13 **"Key Personnel"** means the individuals named as key personnel in a Statement of Work;

1.1.14 **"Losses"** means losses, damages, liabilities, costs and expenses, including reasonable legal fees;

1.1.15 **"Service Credits"** means the reductions to the Charges calculated in accordance with Schedule 2;

1.1.16 **"Service Levels"** means the performance standards for the Services set out in Schedule 2;

1.1.17 **"Services"** means the managed IT services described in Schedule 1 and in each Statement of Work;

1.1.18 **"Statement of Work"** means a document agreed and signed by both parties that describes particular Services, their timetable and their Charges; and

1.1.19 **"Term"** means the period described in clause 2.

1.2 In this Agreement, unless the context requires otherwise:

1.2.1 clause, Schedule and paragraph headings do not affect the interpretation of this Agreement;

1.2.2 the Schedules form part of this Agreement, and a reference to this Agreement includes the Schedules and each Statement of Work;

1.2.3 a reference to a statute is a reference to it as amended, extended or re-enacted from time to time;

1.2.4 words in the singular include the plural and the other way round;

1.2.5 the words "including" and "in particular" are illustrative and do not limit the words that precede them; and

1.2.6 a reference to writing includes email but not other forms of electronic message.

1.3 If there is a conflict between the clauses of this Agreement, the Schedules and a Statement of Work, the clauses prevail over the Schedules, and the Schedules prevail over a Statement of Work, unless the Statement of Work expressly states that it is to prevail.

2. COMMENCEMENT AND TERM

2.1 This Agreement takes effect on the Commencement Date and continues for an initial period of three years, unless terminated earlier in accordance with clause 14.

2.2 The Customer may extend this Agreement for up to two further periods of twelve months each by giving the Supplier written notice at least three months before the end of the initial period or the current extension.

2.3 Each Statement of Work continues for the period stated in it. If a Statement of Work continues beyond the end of the Term, this Agreement continues to apply to that Statement of Work until it expires or is terminated.

3. SUPPLY OF THE SERVICES

3.1 The Supplier shall provide the Services from the dates set out in the relevant Statement of Work and in accordance with this Agreement.

3.2 In providing the Services, the Supplier shall:

3.2.1 perform the Services with Good Industry Practice and in accordance with all applicable laws;

3.2.2 meet or exceed the Service Levels;

3.2.3 comply with the Customer's security, site and IT policies that the Customer has notified to the Supplier in writing;

3.2.4 use personnel who are suitably skilled, experienced and vetted for the work they perform; and

3.2.5 promptly notify the Customer of any matter that is likely to affect the delivery of the Services.

3.3 The Supplier shall prepare and keep up to date a service management plan that describes how the Services are delivered, monitored and reported. The first version shall be delivered within thirty days after the Commencement Date.

3.4 The Supplier shall provide a monthly service report to the Customer by the fifth Business Day of each month, showing performance against each Service Level, incidents, problems, changes and any Service Credits due.

3.5 The contract managers of both parties shall meet at least once a month to review the service report and once every six months to review the overall performance of this Agreement.

4. CUSTOMER OBLIGATIONS

4.1 The Customer shall:

4.1.1 provide the Supplier with the information and decisions that the Supplier reasonably needs to perform the Services, in a timely manner;

4.1.2 give the Supplier's personnel access to the Customer's premises and systems as reasonably required, subject to clause 3.2.3;

4.1.3 maintain the licences for third-party software that the Customer is responsible for under a Statement of Work; and

4.1.4 appoint a contract manager with authority to take decisions on its behalf under this Agreement.

4.2 If the Supplier is prevented or delayed from performing the Services by an act or omission of the Customer, the Supplier shall not be liable for the failure or delay to the extent that it is caused by the Customer, provided that the Supplier notifies the Customer promptly and uses reasonable efforts to perform the Services despite the Customer's act or omission.

4.3 The Customer is responsible for the accuracy of the Customer Data that it provides to the Supplier.

5. CHARGES AND PAYMENT

5.1 In return for the Services, the Customer shall pay the Charges in accordance with this clause 5 and Schedule 3. The Charges are exclusive of value added tax, which the Customer shall pay in addition at the applicable rate.

5.2 The Supplier shall invoice the Charges monthly in arrears. Each invoice shall refer to the relevant Statement of Work and show any Service Credits deducted.

5.2.1 The Customer shall pay each valid invoice within 30 days of the date on which it receives the invoice.

5.2.2 The Customer may withhold payment of any part of an invoice that it disputes in good faith, provided that it notifies the Supplier of the reasons within ten Business Days of receiving the invoice and pays the undisputed part.

5.2.3 Disputed amounts shall be resolved in accordance with clause 17, and any amount found to be due shall be paid within ten Business Days of the resolution.

5.3 If the Customer fails to pay an undisputed amount by the due date, the Supplier may charge interest on the overdue amount at the rate of 4% a year above the base rate of the central bank from time to time, from the due date until the date of payment.

5.4 The Supplier may increase the Charges once a year, on each anniversary of the Commencement Date, by not more than the percentage increase in the consumer price index over the previous twelve months, and in any case by not more than 5%. The Supplier shall give the Customer at least sixty days' written notice of any increase.

5.5 The Supplier shall keep complete and accurate records of the Services performed and the Charges invoiced, and shall allow the Customer or its auditors to inspect those records on reasonable notice, not more than once in any twelve-month period.

6. SERVICE LEVELS AND SERVICE CREDITS

6.1 The Supplier shall measure its performance against each Service Level and report it in the monthly service report.

6.2 If the Supplier fails to meet a Service Level, Service Credits shall apply as set out in Schedule 2. The Supplier shall deduct the Service Credits from the next invoice.

6.3 The total Service Credits in any month shall not exceed 15% of the Charges for that month.

6.4 Service Credits are a price adjustment that reflects the reduced value of the Services. They are without prejudice to the Customer's other rights and remedies, except that any damages awarded for the same failure shall be reduced by the Service Credits paid.

6.5 If the Supplier fails to meet the same Service Level in three consecutive months, or in any four months in a rolling period of twelve months, the Customer may treat the failure as a material breach for the purposes of clause 14.2.1.

7. PERSONNEL AND SUBCONTRACTING

7.1 The Supplier shall ensure that the Key Personnel are available to perform the Services for the time set out in the relevant Statement of Work. The Supplier shall not remove or replace any Key Personnel without the Customer's prior written consent, which shall not be unreasonably withheld, except in the case of illness, resignation or termination of employment.

7.2 The Supplier shall not subcontract any part of the Services without the Customer's prior written consent. The Supplier remains responsible for the acts and omissions of its subcontractors as if they were its own.

7.3 The Customer may require the Supplier to remove from the Services any individual whose conduct the Customer reasonably considers to be unsatisfactory, and the Supplier shall replace that individual promptly.

7.4 Neither party shall, during the Term and for six months afterwards, solicit for employment any person employed by the other party who has been directly involved in the Services, without the other party's consent. This clause does not prevent either party from employing a person who responds to a general advertisement.

8. CHANGE CONTROL

8.1 Either party may request a Change by submitting a change request to the other party's contract manager. A change request shall describe the proposed Change, the reason for it and the date by which it is required.

8.2 Within ten Business Days of receiving or submitting a change request, the Supplier shall provide an impact assessment setting out the effect of the Change on the Services, the Service Levels, the Charges and the timetable, and any risks the Change introduces.

8.3 No Change shall take effect until it has been agreed in writing and signed by the contract managers of both parties. Until a Change is agreed, the parties shall continue to perform this Agreement as if the change request had not been made.

8.4 The Supplier shall not be entitled to increase the Charges for a Change:

8.4.1 that is required because the Supplier has failed to perform the Services in accordance with this Agreement;

8.4.2 that is necessary to comply with a change in law that the Supplier could reasonably have anticipated at the Commencement Date; or

8.4.3 that the Supplier itself requests for its own convenience.

9. INTELLECTUAL PROPERTY

9.1 Each party retains ownership of the Intellectual Property Rights that it owned before the Commencement Date or that it develops independently of this Agreement.

9.2 The Intellectual Property Rights in the Deliverables created specifically for the Customer shall belong to the Customer on creation. The Supplier assigns those rights to the Customer with full title guarantee and shall do all things reasonably necessary to give effect to the assignment.

9.3 The Supplier grants the Customer a non-exclusive, royalty-free licence to use any of the Supplier's pre-existing materials that are incorporated in the Deliverables, to the extent necessary for the Customer and its Affiliates to receive and use the Services and the Deliverables.

9.4 Intellectual property claims:

9.4.1 The Supplier shall indemnify the Customer against all Losses arising out of any claim that the receipt or use of the Services or the Deliverables infringes the Intellectual Property Rights of a third party.

9.4.2 The Customer shall notify the Supplier promptly of any such claim, allow the Supplier to conduct the defence and settlement of the claim, and give the Supplier reasonable assistance at the Supplier's cost.

9.4.3 If a claim is made or is likely to be made, the Supplier may, at its own cost, modify or replace the affected Services or Deliverables so that they no longer infringe, provided that their functionality and performance are not reduced, or obtain a licence for the Customer to continue using them.

10. DATA PROTECTION

10.1 The parties acknowledge that, for the purposes of the Data Protection Legislation, the Customer is the controller and the Supplier is the processor of any personal data contained in the Customer Data.

10.2 The Supplier shall:

10.2.1 process the personal data only on the documented instructions of the Customer, unless required to do otherwise by law;

10.2.2 ensure that its personnel who process the personal data are subject to a duty of confidence;

10.2.3 implement appropriate technical and organisational measures to protect the personal data against unauthorised or unlawful processing and against accidental loss, destruction or damage;

10.2.4 not transfer the personal data outside the country in which the Services are received without the Customer's prior written consent;

10.2.5 notify the Customer without undue delay, and in any case within twenty-four hours, after becoming aware of a personal data breach; and

10.2.6 at the Customer's choice, delete or return the personal data at the end of the Services, unless the law requires it to be kept.

10.3 The Supplier shall not engage another processor without the Customer's prior written authorisation, and shall impose on any such processor the same obligations as are set out in this clause 10.

10.4 The Supplier shall make available to the Customer all information necessary to demonstrate compliance with this clause 10, and shall allow audits, including inspections, by the Customer or an auditor appointed by it, on at least twenty Business Days' notice.

11. CONFIDENTIALITY

11.1 Each party shall keep the other party's Confidential Information confidential and shall not use it except to perform its obligations or exercise its rights under this Agreement.

11.2 A party may disclose the other party's Confidential Information to its employees, officers, professional advisers, subcontractors and Affiliates who need to know it for the purposes of this Agreement, provided that it ensures that they comply with this clause 11.

11.3 Clause 11.1 does not apply to information that:

11.3.1 is or becomes publicly available other than through a breach of this Agreement;

11.3.2 was lawfully in the possession of the receiving party before it was disclosed by the disclosing party; or

11.3.3 must be disclosed by law, by a court or by a regulator, provided that, where it is lawful to do so, the receiving party gives the disclosing party as much notice of the disclosure as possible.

11.4 This clause 11 continues to apply for five years after the end of this Agreement.

12. LIMITATION OF LIABILITY

12.1 Nothing in this Agreement limits or excludes the liability of either party:

12.1.1 for death or personal injury caused by its negligence;

12.1.2 for fraud or fraudulent misrepresentation;

12.1.3 for breach of clause 11; or

12.1.4 of the Supplier under the indemnity in clause 9.4.2.

12.2 Subject to clause 12.1, neither party shall be liable to the other, whether in contract, tort (including negligence) or otherwise, for:

12.2.1 loss of profits, revenue or business;

12.2.2 loss of anticipated savings;

12.2.3 loss of goodwill or reputation; or

12.2.4 any indirect or consequential loss.

12.3 Subject to clauses 12.1 and 12.2:

12.3.1 the total liability of each party in each contract year shall not exceed 125% of the Charges paid and payable in that contract year; and

12.3.2 the total liability of the Supplier for loss of or damage to Customer Data, including the cost of restoring it, shall not exceed £2,000,000 in aggregate.

12.4 Service Credits shall count towards the limit in clause 12.3.1.

13. INSURANCE

13.1 The Supplier shall maintain in force, with a reputable insurer, professional indemnity insurance of not less than £5,000,000 for each claim, public liability insurance of not less than £10,000,000 for each claim, and cyber liability insurance of not less than £2,000,000 in the aggregate.

13.2 The Supplier shall provide the Customer with copies of the insurance certificates on request and at each renewal of the policies.

13.3 The Supplier shall notify the Customer within ten Business Days if any of the policies is cancelled, suspended or not renewed, or if the cover is reduced below the amounts set out in clause 13.1.

14. TERMINATION

14.1 The Customer may terminate this Agreement or any Statement of Work for convenience by giving the Supplier not less than ninety days' written notice. In that case the Customer shall pay the Charges for the Services performed until the date of termination and the reasonable, unavoidable costs that the Supplier incurs as a direct result of the early termination.

14.2 Either party may terminate this Agreement with immediate effect by written notice to the other party if:

14.2.1 the other party commits a material breach of this Agreement which is irremediable or, if remediable, is not remedied within thirty days of a written notice requiring it to be remedied;

14.2.2 the other party becomes insolvent, enters into administration or liquidation, or makes an arrangement with its creditors; or

14.2.3 a Force Majeure Event prevents the other party from performing its obligations for a continuous period of more than sixty days.

14.3 The Customer may terminate this Agreement with immediate effect by written notice if the Supplier undergoes a change of control and the new controlling entity is a competitor of the Customer.

15. CONSEQUENCES OF TERMINATION

15.1 For a period of up to six months after termination or expiry, the Supplier shall continue to provide the Services, at the Charges then in force, to the extent reasonably required to ensure an orderly transfer of the Services to the Customer or a replacement supplier.

15.2 The Supplier shall maintain an exit plan, agree it with the Customer within six months after the Commencement Date, and review it every year.

15.3 On termination or expiry, each party shall return the other party's Confidential Information, and the Supplier shall return or delete the Customer Data in accordance with clause 10.2.6.

15.4 Termination or expiry does not affect the rights and remedies that have accrued to either party, or the continuation of any clause that is expressly or implicitly intended to continue, including clauses 9, 10, 11, 12 and 19.

16. FORCE MAJEURE

16.1 A Force Majeure Event is an event beyond the reasonable control of the affected party, including natural disaster, war, terrorism, epidemic, government action and failure of a public utility, but excluding industrial action by the affected party's own personnel and any event that the affected party could have prevented by complying with its business continuity plan.

16.2 A party affected by a Force Majeure Event shall not be in breach of this Agreement for any delay or failure in performance caused by the event, provided that it notifies the other party promptly and uses all reasonable efforts to reduce its effect.

16.3 The Supplier shall maintain and test, at least once a year, a business continuity and disaster recovery plan for the Services.

17. DISPUTE RESOLUTION

17.1 The parties shall try to resolve any dispute through their contract managers. If the contract managers do not resolve the dispute within ten Business Days, either party may refer it to a director of each party, who shall meet within a further ten Business Days.

17.2 If the directors do not resolve the dispute within twenty Business Days of the referral, the parties may agree to refer it to mediation in accordance with the procedure of an independent mediation body agreed between them.

17.3 Nothing in this clause 17 prevents either party from seeking urgent interim relief from a court.

18. GENERAL

18.1 Neither party may assign or transfer any of its rights or obligations under this Agreement without the prior written consent of the other party, except that the Customer may assign this Agreement to an Affiliate on written notice.

18.2 Notices under this Agreement shall be in writing and delivered by hand, by recorded delivery or by email to the address of the other party set out at the beginning of this Agreement, or to another address notified for this purpose.

18.3 This Agreement is the entire agreement between the parties and supersedes all previous agreements, arrangements and understandings between them relating to its subject matter.

18.4 No variation of this Agreement is effective unless it is in writing and signed by authorised representatives of both parties.

18.5 A failure or delay in exercising a right or remedy does not waive that right or remedy or prevent its later exercise.

18.6 If any provision of this Agreement is found to be invalid or unenforceable, it shall be modified to the minimum extent necessary to make it valid, and the validity of the other provisions is not affected.

18.7 Nothing in this Agreement creates a partnership or joint venture between the parties, or authorises either party to act as agent for the other.

18.8 A person who is not a party to this Agreement has no right to enforce any of its terms.

18.9 This Agreement may be signed in any number of counterparts, each of which is an original and all of which together form one agreement.

19. GOVERNING LAW AND JURISDICTION

19.1 This Agreement and any dispute or claim arising out of or in connection with it shall be governed by the law of England and Wales.

19.2 Each party irrevocably agrees that the courts of England and Wales shall have exclusive jurisdiction to settle any dispute or claim arising out of or in connection with this Agreement.

SCHEDULE 1 – SERVICE DESCRIPTION

1. The Supplier shall host the Customer's transport management platform in two geographically separate data centres, with the production environment in one and the test and recovery environment in the other.

2. The Supplier shall provide a service desk for the Customer's users from 06:00 to 22:00 on every day of the year, with an on-call engineer for priority 1 incidents outside those hours.

3. The Supplier shall monitor the platform, the network connections and the supporting infrastructure continuously, and shall manage capacity so that peak utilisation stays below 75%.

4. The Supplier shall back up the Customer Data every day, keep daily backups for 35 days and monthly backups for 13 months, and test the restoration of a sample of backups every quarter.

5. The Supplier shall apply security patches in accordance with the timescales in Schedule 2 and shall operate a security monitoring service that detects and responds to threats against the platform.

SCHEDULE 2 – SERVICE LEVELS AND SERVICE CREDITS

Service Levels are measured monthly. Service Credits are calculated as a percentage of the monthly Charges for the Services concerned and are subject to the cap in clause 6.3.

Ref.	Service Level	Measure	Target	Service Credit
SL1	Availability of the hosted platform	Percentage of time available in the month, excluding agreed maintenance windows	99.5%	2% of the monthly Charges for each 0.1% below target
SL2	Service desk response	Calls answered within 60 seconds	90%	1% of the monthly Charges
SL3	Priority 1 incident resolution	Resolved within 4 hours	95%	3% of the monthly Charges
SL4	Priority 2 incident resolution	Resolved within 8 working hours	95%	2% of the monthly Charges
SL5	Priority 3 incident resolution	Resolved within 3 Business Days	90%	1% of the monthly Charges
SL6	Backup success	Scheduled backups completed successfully	99%	1% of the monthly Charges
SL7	Restore test	Quarterly restore test completed within the recovery time objective	100%	2% of the monthly Charges
SL8	Security patching	Critical patches applied within 14 days of release	98%	2% of the monthly Charges
SL9	Service report	Delivered by the fifth Business Day of the month	100%	0.5% of the monthly Charges

SCHEDULE 3 – CHARGES

All Charges are in pounds sterling, exclusive of value added tax, and fixed for the first contract year.

Element	Basis	Charge (£)
Platform hosting (production and test)	Monthly	18,400
Service desk (up to 900 users)	Monthly	9,750
Infrastructure monitoring and management	Monthly	6,200
Backup and disaster recovery	Monthly	3,850
Security operations and patching	Monthly	4,300
Additional users above 900	Per user per month	9.20

Element	Basis	Charge (£)
Project work under a Statement of Work	Per day	780

SIGNED by the authorised representatives of the parties on the dates below.

	For the Customer	For the Supplier
Signature		
Name		
Title		
Date		